IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI BENCH, COURT-III

COMPANY PETITION NO. (CAA) - 84(ND)/2020

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 87(ND)/2020

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

M/s. G.G. ERRECTORS AND CONSTRUCTORS PRIVATE LIMITED

... Petitioner Company No. 1/ Transferor Company No. 1

WITH

M/s. G.G. PROMOTERS AND DEVELOPERS PRIVATE LIMITED

... Petitioner Company No. 2/ Transferee Company No. 1

Order Pronounced On: 01.08.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS,

HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN,

HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioner	:	Mr. Sougat Sinha, Advocate
For the IT Department	:	Mr. Anurag Ohja, Ms. Hemlata Rawat, Sr. SC, Mr. V.K. Saxena, Sr. SC Mr. Abhay Singh, Advs.
For the OL	:	Mr. Kush, Proxy Counsel
For the RD	:	Mr. Sumit Kansal Mr. Aryan Gupta, Advs

ORDER

PER: DR. SANJEEV RANJAN, MEMBER (TECHNICAL)

1. The present Second Motion Petition is filed jointly by **M/s. G.G. Errectors And Constructors Private Limited** (Petitioner Company No. 1/ Transferor Company No. 1) and **M/s. G.G. Promoters And Developers Private Limited** (Petitioner Company No. 2/ Transferee Company No. 1) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation amongst the Transferor Company and the Transferee Company and their respective shareholders and creditors (Scheme).

   The Registered office address of both the Petitioner Companies is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.

2. **M/s. G.G. Errectors And Constructors Private Limited** (Petitioner Company No. 1/ Transferor Company No. 1), bearing CIN: U45209DL1998PTC093602 was incorporated on 04.05.1998 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Petitioner Company No. 1 is situated at S-155 F/F, Panchsheel Park, Delhi – 110017. The Authorized Share Capital of the Company is Rs. 5,90,00,000/- divided into 59,00,000 equity shares of Rs. 10 each and the Issued, Subscribed and paid-up share capital of the Company is Rs. 4,98,00,200/- divided into 49,80,020 shares of Rs. 10 each.

3. **M/s. G.G. Promoters And Developers Private Limited** (Petitioner Company No. 2/ Transferee Company No. 1), bearing CIN: U67100DL1998PTC093333 was incorporated on 21.04.1998 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Petitioner

Company No. 2 is situated at MCT House, Block A, Okhla Centre, Opposite Holy Family Hospital, New Delhi, Delhi – 110025. The Authorized Share Capital of the Company is Rs. 10,00,000/- divided into 1,00,000 equity shares of Rs. 10 each and the Issued, Subscribed and paid-up share capital of the Company is Rs. 10,00,000/- divided into 1,00,000 equity shares of Rs. 10 each.

4. It is stated that the Petitioner Companies have moved the necessary Second Motion Petition **CP(CAA)–84(ND)/2020** connected with the First Motion Application being **CA(CAA)–87(ND)/2017**, before this Tribunal.

5. The Affidavit in support of the above Petition have been sworn by Mr. Gautam Misra, Authorised Signatory of Petitioner Company No. 1 and No. 2, who has been duly authorized vide resolution passed by the Board of Directors of the respective Petitioner Companies; and has been duly filed, along with the present Petition.

6. The Board of Directors of both the Petitioner Companies in their separate meetings approved and adopted the Scheme of Amalgamation of **M/s. G.G. Errectors And Constructors Private Limited** (Petitioner Company No. 1/ Transferor Company No. 1) with **M/s. G.G. Promoters And Developers Private Limited** (Petitioner Company No. 2/ Transferee Company No. 1) in accordance with the terms of the Scheme of Amalgamation.

7. The circumstances which necessitate the said scheme of amalgamation are as under:

   i. *"The Petitioner Companies No. 1 and 2 with the end and intent of aligning the business operations have proposed to amalgamate the Petitioner Company No. 1 with the Petitioner Company No. 2 in accordance with the terms of the Scheme which would cause benefits to both the Petitioner Companies, their employees, shareholders and creditors. The amalgamation as proposed in the Scheme shall achieve efficiencies and synergies and enable exploitation of growth opportunities.*

   ii. *The amalgamation of the Transferor Company with Transferee Company will enable the Transferee Company to undertake its development and construction activities more economically and*

efficiently with better utilisation of the combined resources including infrastructure and administration, increased management attention, greater synergy in projects and operations and reduced costs and expenses.

iii. *The Transferor Company, post amalgamation, will become part of a larger entity and will therefore have access to the financial resources, greater management attention and superior experience of the Transferee Company. The amalgamation will strengthen the Transferor Company position and allow its business to leverage the strength, focused management time and resource pool of the Transferee company, raise funds apart from achieving operational and cost synergies.*

iv. *As the business operations of the Transferee Company expand there is a need to have a simpler, consolidated and focused business organization structure. The amalgamation of Transferor Company with the Transferee Company will enable consolidation of all their resources for higher efficiencies and synergies.*

v. *The amalgamation is in the interest of the shareholders, creditors and all other stakeholders of the respective companies, and is not prejudicial to the interests of the concerned shareholders, creditors or the general public at large.*

vi. *The authorised, issued, subscribed and paid-up share capital of the Transferee Company and the Transferor Companies as on 13.01.2019 are as under:*

Transferee Company

Particulars	***Amount in Rs.***
Authorized Share Capital	
1,00,000 equity shares of Rs. 10/- per equity share	*10,00,000.00*
Preference Share	*Nil*
Issued, Subscribed and Paid up Share Capital:	
1,00,000 equity shares of Rs. 10/- per equity share	*10,00,000.00*

Shareholders of Transferee Company are as below:

S.No.	Name	No. of Shares	Percentage of Holding
1.	Gautam Misra	99,999	99.99%
2.	Sushma Misra	1	0.1%
Total		100000.00	100.00

Transferor Company

Particulars	***Amount in Rs.***
Authorized Share Capital	
59,00,000 equity shares of Rs. 10/- per equity share	*5,90,00,000.00*
Preference Share	*Nil*
Issued, Subscribed and Paid up Share Capital:	
49,80,020 equity shares of Rs. 10/- per equity share	*4,98,00,200.00*

Shareholders of Transferee Company are as below:

S.No.	Name	No. of Shares	Percentage of Holding
1.	Gautam Misra	49,55,220	99.5
2.	Sushma Misra	24,800	0.50
Total		49,80,020	100.00

8. This Tribunal by its order dated 11.11.2020 dispensed with the requirement from convening and holding of the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Petitioner Companies, as sought through first motion Application.

9. The Second Motion Petition has been moved by the Petitioner Companies in connection with the Scheme of Amalgamation. This Tribunal had directed to issue notice to Respondents/Statutory Authorities i.e., the Regional Director (Northern Region), the Official Liquidator, New Delhi, the Registrar of Companies, NCT of Delhi & Haryana and the Income Tax Department and further directed the publishing of the Notice of hearing in the Newspaper.

10. It is submitted by the Petitioner Companies that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published in English in "*Financial Express (Delhi Edition)*" and in Hindi in "*Jansatta (Delhi Edition)*".

11. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities as per the direction given by this Tribunal.

12. The Regional Director vide its report dated 12.01.2024 has not objected to the proposed scheme of the Amalgamation but stated that it had made certain observations to which the Petitioner Companies filed a response to and clarified the said observations and the Regional Director is satisfied with the clarification.

13. The Official Liquidator vide its report dated 14.08.2024 has not objected to the proposed Scheme of the Amalgamation but stated that it had raised certain observations to which the Petitioners have responded to and the OL is satisfied with the response.

14. The Income Tax Department vide its report dated 22.02.2025 has submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of Amalgamation.

15. The Petitioner Companies have undertaken to maintain the account in accordance with and as per the method of Amalgamation prescribed in the applicable Indian Accounting Standard as notified under Section 133 of the Companies Act, 2013 read together with Paragraph 3 of the Companies (Indian Accounting Standard) Rules, 2016 and other accounting principles generally accepted in India.

    In this regard, Certified true copies of Certificates obtained from the Statutory Auditors of all the Petitioner Companies confirming the accounting treatment proposed in the Scheme of Amalgamation are filed along with the Petition.

16. It is submitted that the Directors, of either of the company, have no interest in the proposed Scheme of Amalgamation, except as Shareholder, in general, the extent of which will appear from the Register of the Director's shareholdings maintained by the respective Companies. Shri Gautam Misra and Smt. Sushma Misra are the common Directors in the Petitioner Companies.

17. It is further submitted that if any suit, appeal or other proceedings of whatever nature by or against the Transferor Companies be pending, the same shall not abate, be discontinued or be in any way prejudicially effected by reason of the transfer of the undertaking of the Transferor Companies or of anything contained in this scheme but the said proceedings may be continued, prosecuted and enforced by or against the Transferee.

18. The Scheme of Amalgamation shall not in any manner effect the rights and interests of the creditors of the Transferor Companies which may be deemed to be prejudicial to their interest and in particular the secured and statutory creditors of the Transferor Companies who shall continue to enjoy and hold charge upon their respective securities and properties.

19. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 210, 212(1) to (7) & (11) to (17), 214, 215, 216(1) & (3) 217, 219, 220, 223, 224(1), (3) and (4) and 225 or any other applicable provisions of the Companies Act, 2013.

20. None of the Petitioner Companies is registered or required to be registered under the Monopolies & Restrictive Trade practices Act, 1969/Competition Act, 2002. The scheme does not require the approval of the government under the provision of the MRTP Act/Competition Act.

21. This Joint Second Motion Petition is made *bonafide* and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

ANALYSIS AND FINDING:

22. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Companies and the Transferee Company and the Scheme will be beneficial to the Transferor Companies, Transferee Company and their respective shareholders and creditors.

23. The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

24. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Companies, Transferee Company, their respective Shareholders, Creditors, Employees and all concerned.

25. In view of the foregoing discussions and upon considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

26. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

    i. The Petitioner Companies shall however remain duty bound to comply with the statutory requirements in accordance with the law.

    ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken in accordance with

the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 232(7) of the Act, the Transferee Company shall until the full implementation of the Scheme of Amalgamation file a statement every year in Form CAA 8 along with the required fee with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The Appointed Date (Appointed Date means the date from which the Scheme shall be deemed to be effective) as proposed in the Scheme of Amalgamation i.e., 01.04.2019 is confirmed by this Tribunal.

27. This Tribunal further orders:

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act,2013 without further act or

deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

28. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/84(ND)/2020** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

Sd/- **Sd/-**

(DR. SANJEEV RANJAN)
MEMBER (TECHNICAL)

(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)